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MONEY AND CREDIT

Economics - Class 10 | Chapter 3 | Deep
Structured NCERT Notes

1. What is Money?

Complete Definition and Understanding

Money is anything that is generally accepted as a medium of exchange for goods and services. It is the **most important invention** that has made **economic transactions easy** in modern society. Money **eliminates the need for barter system** where goods were exchanged directly for other goods.

In the modern economy, money plays a crucial role as a medium of exchange. People use money to **buy goods and services, pay for debts, and store value.** Money is **accepted by everyone** in the economy, which makes it the **most convenient form of payment.** Without money, **economic activity would be extremely difficult and inefficient.**

Money has evolved over time from primitive forms to modern forms. Earlier, people used **barter system** where goods were exchanged for goods. Then people used **commodity money** like **cattle, shells, grains, and metals**. Later, **metal coins** were introduced. Finally, **paper currency and digital money** became the **standard form of money** in modern economy.

2. The Problem with Barter System

Barter System and Double Coincidence of Wants

Barter system is the system of exchanging goods directly for other goods without using money. In barter system, if you have **wheat and want clothes**, you must find someone who has **clothes and wants wheat**. This is called **double coincidence of wants**.

Double coincidence of wants means that both parties must want what the other has. This is **very difficult to achieve** in practice. For example, if you have wheat and want clothes, but the person with clothes wants shoes, **you cannot exchange directly**.

Barter system has several serious limitations:

- **Double coincidence of wants is difficult to find.**
- **No common measure of value** - how much wheat for one shirt?
- **Goods are not divisible** - you cannot split a cow to buy small items.
- **Goods are perishable** - they cannot store value for long.
- **Difficult to make deferred payments** - hard to repay a loan in future with goods.
- **No standard for saving wealth** - goods may lose value over time.

Money solved all these problems of barter system.

Money provides a **common measure of value**, is **divisible, durable, portable**, and **widely accepted**. This is why **money replaced barter system** and became the **foundation of modern economy**.

3. Functions of Money

1. Medium of Exchange

Money is used as a medium of exchange to buy and sell goods and services. This is the **most important function** of money. Money is **accepted by everyone** as a form of payment, which makes **transactions quick and easy**.

With money, you do not need double coincidence of wants. If you have money, you can **sell your goods or services for money** and then **use money to buy what you need**. This makes **economic transactions much more efficient**.

Money as medium of exchange has several advantages:

- **Saves time** - no need to search for someone with matching wants.
- **Reduces transaction costs** - no need to negotiate barter ratios.
- **Increases efficiency** - specialization and division of labor become possible.
- **Facilitates trade** - people can trade across regions and countries.

2. Measure of Value (Unit of Account)

Money is used to measure the value of goods and services. The **price of a product** is expressed in **money terms** like **Rs. 100, Rs. 500, or Rs. 1000**. This allows **easy comparison** between different products.

Without money, it would be difficult to compare values. For example, how do you compare the value of **one shirt** with **10 kg of wheat**? With money, you can say **shirt costs Rs. 500** and **10 kg wheat costs Rs. 200**, making **comparison easy**.

Money as measure of value allows:

- **Price fixation** - sellers can set prices in money terms.
- **Cost calculation** - businesses can calculate costs in money.
- **Profit measurement** - profits can be calculated in money.
- **Accounting** - financial records are maintained in money.
- **Economic planning** - government can plan using money values.

3. Store of Value

Money can be saved and used later. Unlike **perishable goods**, money **does not spoil** or **lose value quickly**, though inflation can reduce purchasing power. People can **store purchasing power** in the form of money.

Money as store of value has several advantages:

- **Durable** - does not rot, break, or decay.
- **Portable** - easy to carry and store.
- **Divisible** - can save any amount.
- **Widely accepted** - can use saved money anytime.

However, money as store of value has limitations:

- **Inflation reduces purchasing power** over time.
- **Money does not earn interest** if kept as cash.
- **Better to keep money in bank deposits** to earn interest.

4. Standard of Deferred Payment

Money is used to make payments in the future.

People can **take loans** and **repay them later** in money. This allows **credit transactions** and **future contracts**.

Without money, deferred payments would be difficult. If you borrowed wheat, the value and quality of wheat may change in one year. With money, you can **borrow Rs. 1000** and **repay Rs. 1000 plus interest** after one year.

Money as standard of deferred payment enables:

- **Credit transactions** - buy now, pay later.
- **Loans and borrowing** - individuals and businesses can borrow.
- **Future contracts** - agree on prices for future delivery.
- **Savings and investment** - save money for future use.

5. Transfer of Value

Money can be transferred from one place to another easily. People can **send money to family members**, **pay bills online**, or **transfer funds electronically**. This makes **economic transactions across distances possible**.

Money transfer is easier than transferring goods. Sending **Rs. 1000** to another city is **much easier** than sending **10 kg of wheat**. **Modern banking and technology** have made money transfer **instant and convenient**.

Money transfer methods include:

- **Cash** - physical transfer of currency.
- **Cheques** - written order to bank to pay money.
- **Bank transfers** - electronic transfer between accounts.
- **Digital payments** - online payments through apps.
- **Mobile money** - transfer through mobile phones.

4. Modern Forms of Money

Currency (Notes and Coins)

Currency is the most widely used form of money in the economy. It includes **paper notes and metallic coins** that are **issued by the government**. In India, **currency is issued by the Reserve Bank of India (RBI)** on behalf of the **Government of India**.

Currency is legal tender - it is **recognized by law** as a valid form of payment. Currency is **accepted by everyone** in the country. It is the **most direct and**

visible form of money.

Different denominations of currency exist in India:

- **Notes:** Rs. 10, Rs. 20, Rs. 50, Rs. 100, Rs. 200, Rs. 500, Rs. 2000.
- **Coins:** Rs. 1, Rs. 2, Rs. 5, Rs. 10, Rs. 20.

Currency has several advantages:

- **Widely accepted** - everyone accepts currency.
- **Portable** - easy to carry small amounts.
- **Divisible** - different denominations available.
- **Immediate payment** - no waiting for clearance.
- **Anonymous** - no record of transactions.

Currency also has limitations:

- **Can be lost or stolen** - physical risk.
- **Bulky to carry large amounts** - impractical for big transactions.
- **Can be counterfeit** - fake currency exists.
- **Does not earn interest** - loses value to inflation.
- **No record of transactions** - difficult to track spending.

Bank Deposits

Another widely accepted form of money is deposits in banks. People can **deposit their money in banks** and **withdraw it when needed**. Bank deposits are **also used for payments** through **cheques, debit cards, and online transfers**.

Bank deposits are safer than cash and **earn interest** except current accounts. Banks provide **security** for money and **facilitate transactions** without carrying cash. Bank deposits have become **increasingly important** with the growth of **digital payments**.

Types of bank deposits:

- **Savings Account:** Used for **saving money** and earning small interest; suitable for individuals.
- **Current Account:** Used for **business transactions**; no interest but unlimited transactions.
- **Fixed Deposit (FD):** Money deposited for a fixed period; gives **higher interest** than savings account.
- **Recurring Deposit (RD):** Regular monthly deposits for a fixed period; useful for systematic saving.

Bank deposits have several advantages:

- **Safe** - money is protected from theft and loss.

- **Earn interest** - money grows over time.
- **Convenient** - withdrawals, ATMs, and online transfers.
- **Record maintained** - transaction history available.
- **Can make payments** - through cheques, cards, and online transfers.

Bank deposits also have some limitations:

- **Minimum balance may be required.**
- **Withdrawal limits may exist** for some accounts.
- **Bank failure risk exists**, though deposits are insured up to a fixed limit.
- **Interest may be low** and may not beat inflation.

5. Reserve Bank of India (RBI)

What is RBI?

The Reserve Bank of India (RBI) is the central bank of India. It was **established in 1935** and **nationalized in 1949**. RBI is **the most important financial institution** in India and **regulates the entire banking system**.

RBI is the apex institution in the financial system of India. It controls **money supply**, **regulates banks**, **manages currency**, and **implements monetary policy**.

RBI works with the **Government of India** in managing the financial system.

Headquarters of RBI: Mumbai. It also has **regional offices** in major cities such as **Delhi, Kolkata, Chennai,** and others.

Functions of RBI

1. Issuer of Currency:

- **RBI issues currency notes** on behalf of the Government of India.
- **One rupee notes and coins** are issued by the **Government of India.**
- **All other denominations** are issued by **RBI.**
- **RBI ensures adequate supply of currency** in the economy.
- **RBI withdraws old and damaged currency** from circulation.

2. Banker to Banks:

- **RBI maintains bank accounts** of all commercial banks.
- **Banks keep reserves** with RBI.
- **RBI provides loans** to banks when they need money.

- **RBI acts as lender of last resort** for banks.
- **RBI clears cheques** between banks.

3. Banker to Government:

- **RBI maintains bank accounts** of central and state governments.
- **RBI receives and makes payments** for government.
- **RBI manages government's debt.**
- **RBI gives loans** to government when needed.
- **RBI advises government** on financial matters.

4. Controller of Credit (Monetary Policy):

- **RBI controls money supply** in the economy.
- **RBI sets interest rates** such as repo rate and reverse repo rate.
- **RBI controls inflation** by adjusting money supply.
- **RBI promotes economic growth** through monetary policy.
- **RBI manages foreign exchange reserves.**

5. Guardian of Banking System:

- **RBI regulates and supervises banks.**
- **RBI grants licenses** to new banks.

- **RBI sets rules** for banking operations.
- **RBI inspects banks** regularly.
- **RBI protects depositors' interests.**

6. Manager of Foreign Exchange:

- **RBI manages foreign exchange reserves.**
- **RBI regulates foreign exchange transactions.**
- **RBI manages exchange rate stability.**
- **RBI promotes international trade** through forex management.

6. Currency System in India

How Currency is Issued

Currency in India is issued by the Reserve Bank of India. The RBI has the sole right to issue currency notes, except one rupee notes and coins. **The Government of India issues one rupee notes and coins.**

Currency is issued based on the minimum reserve system. RBI must keep **minimum reserves of gold and foreign exchange** as required by law. This helps ensure **confidence in currency.**

Process of currency issuance:

- **RBI decides amount of currency needed** based on economic needs.
- **RBI prints currency** at currency printing presses.
- **RBI distributes currency** to banks.
- **Banks distribute currency** to the public through branches and ATMs.
- **Old and damaged currency is withdrawn** and replaced with new notes.

Currency notes have several security features to prevent counterfeiting:

- **Watermark:** Portrait of Mahatma Gandhi when held against light.
- **Security thread:** Embedded metallic thread with text.
- **See-through register:** Geometric pattern visible when held against light.
- **Latent image:** Denomination number visible when tilted.
- **Microtext:** Tiny text visible under magnification.
- **Fluorescence:** Number panel glows under UV light.
- **Optically variable ink:** Denomination number changes color when tilted.

- **Intaglio printing:** Raised printing on Gandhi's portrait and RBI seal.

These security features make it difficult to create fake currency. The **RBI and government regularly update security features** to stay ahead of counterfeiters. Citizens are **encouraged to check these features** before accepting large denomination notes.

7. Credit (Loan)

What is Credit?

Credit is an agreement between a lender and a borrower. The **lender provides money or goods** to the **borrower**, who **promises to repay** the money **with interest** after a **specified period**. Credit is also called a **loan**.

In credit transaction, the borrower receives money now and repays it later. The **extra money paid** to the lender is called **interest**. Interest is the **cost of borrowing money**. The **original amount borrowed** is called the **principal**.

Credit is essential for economic development. It allows **individuals and businesses to invest** in productive activities. Without credit, **many people would not be able to start businesses, buy houses, or pay**

for education. Credit **smoothen consumption** and **enables investment.**

Terms of Credit

The terms of credit are the conditions under which a loan is given. These terms **define the relationship between lender and borrower.** Every loan has **specific terms** that both parties must **agree upon before the loan is given.**

The main terms of credit include:

1. Interest Rate:

- The **percentage of principal** charged as **interest** for using the lender's money.
- **Higher interest rate** means **higher cost of borrowing.**
- Interest can be **simple** or **compound.**
- **Interest rate varies** based on **risk, loan amount, tenure, and lender type.**

2. Collateral:

- **Asset owned by the borrower** that is **used as security for the loan.**

- If the borrower **fails to repay**, the lender can **sell the collateral** to recover money.
- Common collaterals include **house, land, vehicle, livestock, savings, fixed deposits, and jewelry**.
- **Collateral reduces risk for the lender.**

3. Documentation:

- Documents are used to verify **identity, income, and creditworthiness**.
- Common documents include **identity proof, income proof, address proof, and loan agreement**.
- The **purpose of loan** must usually be stated.

4. Repayment Method:

- Repayment can be through **cash, cheque, or electronic transfer**.
- Loans may be repaid through **monthly installments** or **lump sum payment**.
- **Tenure** means the time period for repayment.
- **Prepayment** and **grace period** may also be part of loan terms.

5. Other Terms:

- **Processing fee**: charge for processing loan application.

- **Penalty charges:** charges for late payment or default.
- **Insurance:** sometimes linked with loans.
- **Guarantor:** third person who guarantees repayment if borrower defaults.

Example of Credit Transaction

Consider a farmer named Kamal who needs money for farming. Kamal needs Rs. 10,000 for seeds, fertilizers, and pesticides. He borrows **Rs. 10,000 from a moneylender at 5% interest per month for 3 months**, using land as collateral.

Repayment calculation:

- **Principal:** Rs. 10,000.
- **Monthly interest:** 5% of Rs. 10,000 = Rs. 500.
- **Total interest for 3 months:** Rs. 500 x 3 = Rs. 1,500.
- **Total amount to repay:** Rs. 10,000 + Rs. 1,500 = Rs. 11,500.

If Kamal's harvest is good, he can sell crops, repay the loan, and keep profit. **If Kamal's harvest fails**, he cannot repay fully and may lose his land. This shows that **credit can be beneficial or dangerous depending on the situation**.

Debt Trap

A debt trap is a situation where the borrower is unable to repay the loan and has to borrow more to repay the previous loan. This creates a **cycle of debt** that is **very difficult to escape**. Once in a debt trap, the borrower's **financial condition worsens** over time.

How does a debt trap happen?

- **Borrower takes a loan** for a productive purpose.
- **Unexpected event occurs** such as crop failure, business loss, illness, or natural disaster.
- **Borrower cannot repay the loan.**
- **Borrower takes another loan** to repay the first loan.
- **New loan has higher interest** because risk is higher.
- **Borrower's debt increases** and becomes **unmanageable**.
- **Borrower loses assets** or becomes **extremely poor**.

Common causes of debt trap:

- **High interest rates** from informal lenders.
- **Unexpected events** such as crop failure, illness, or natural disaster.
- **Over-borrowing.**

- **Lack of financial literacy.**
- **No collateral**, forcing borrower to use informal credit.
- **Multiple loans** from different lenders.

Consequences of debt trap:

- **Loss of assets** like land, house, or livestock.
- **Extreme poverty.**
- **Mental stress and depression.**
- **Social problems** such as children dropping out of school.
- **Severe financial crisis** for families.

How to avoid debt trap:

- **Borrow only what you can repay.**
- **Choose formal sector lenders** with lower interest rates.
- **Understand loan terms** before signing.
- **Build emergency savings.**
- **Diversify income sources.**
- **Use government support** such as subsidies, insurance, and relief programmes.

8. Formal vs Informal Sector Credit

Formal Sector Credit

Formal sector credit comes from institutions that are regulated by the Reserve Bank of India (RBI). These include **banks, cooperatives, and other regulated financial institutions.** Formal sector credit has **fixed terms, reasonable interest rates, and legal protection** for borrowers.

Characteristics of formal sector credit:

- **Regulated by RBI:** RBI sets rules for lending, interest rates, and documentation.
- **Lower interest rates** compared to informal lenders.
- **Proper documentation** such as identity proof, income proof, address proof, and loan agreement.
- **Collateral required** for large loans.
- **Legal protection** for borrowers under banking laws.

Examples of formal sector lenders:

- **Commercial Banks:** SBI, PNB, Bank of Baroda, HDFC Bank, ICICI Bank, Axis Bank.
- **Cooperative Societies:** Urban cooperative banks and rural cooperative banks.

- **Regional Rural Banks.**
- **Microfinance Institutions.**
- **Non-Banking Financial Companies (NBFCs)**
regulated by RBI.

Advantages of formal sector credit:

- **Lower interest rates.**
- **Legal protection** for borrowers.
- **Flexible repayment options.**
- **Can build credit history.**
- **Transparent terms.**
- **Professional service.**
- **Can get larger loans.**

Disadvantages of formal sector credit:

- **Requires collateral** for large loans.
- **Lengthy documentation.**
- **Slow approval process.**
- **May not lend to poor people** without collateral or credit history.
- **Strict eligibility criteria.**
- **Penalty charges** for late payment.

Informal Sector Credit

Informal sector credit comes from individuals and institutions that are not regulated by RBI. These include **moneylenders, traders, relatives, friends, employers, and landlords.** Informal sector credit has **no fixed terms, high interest rates, and no legal protection** for borrowers.

Characteristics of informal sector credit:

- **Not regulated by RBI.**
- **Very high interest rates.**
- **Minimal or no documentation.**
- **Collateral may or may not be required.**
- **No legal protection.**

Examples of informal sector lenders:

- **Moneylenders.**
- **Traders and merchants.**
- **Relatives and friends.**
- **Employers.**
- **Landlords.**
- **Religious institutions** in some cases.

Advantages of informal sector credit:

- **Quick approval.**
- **No collateral required sometimes.**
- **Minimal documentation.**
- **Available to poor people.**
- **Flexible terms.**
- **Trust-based lending** in some cases.

Disadvantages of informal sector credit:

- **Very high interest rates.**
- **Unfair terms.**
- **No legal protection.**
- **Can lead to debt trap.**
- **Exploitation of borrowers.**
- **Harassment for repayment.**
- **No credit history built.**

Comparison: Formal vs Informal Sector Credit

Formal sector credit is safer and cheaper, but it is **harder for the poor to access** because it often requires **collateral, documents, and credit history**. **Informal sector credit is easier and faster**, but it is **costlier and riskier** because interest rates are high and borrowers have little protection.

Key comparison points:

- **Lenders:** Formal - banks and cooperatives; Informal - moneylenders, traders, relatives, friends.
- **Regulation:** Formal - regulated by RBI; Informal - not regulated.
- **Interest Rate:** Formal - lower; Informal - very high.
- **Documentation:** Formal - extensive; Informal - minimal or none.
- **Collateral:** Formal - required for large loans; Informal - may or may not be required.
- **Legal Protection:** Formal - yes; Informal - no.
- **Approval Time:** Formal - slower; Informal - faster.
- **Access for Poor:** Formal - limited; Informal - easier.
- **Risk of Debt Trap:** Formal - lower; Informal - higher.

9. Why Do People Use Informal Sector Credit?

Reasons for Using Informal Sector

Despite high interest rates and risk, many people still use informal sector credit. This is because **formal sector credit is not easily accessible** to many people, especially the poor. Several **barriers prevent people from accessing formal credit.**

Main reasons for using informal sector credit:

- **Lack of Collateral:** Poor people may not own land, house, or other assets to use as collateral.
- **Lack of Documentation:** Poor people may not have proper identity proof, income proof, or address proof.
- **Lack of Credit History:** Banks check credit history, but many poor borrowers have no formal borrowing record.
- **High Transaction Costs:** Formal loans require travel, waiting, and multiple visits.
- **Slow Approval Process:** Formal loans take time, but emergencies need quick money.
- **Lack of Financial Literacy:** Many borrowers do not understand loan terms and formal options.

- **Geographic Distance:** Rural areas may have fewer bank branches.
- **Discrimination:** Poor people, women, and minorities may face unfair treatment.

What Should Be Done?

The government and RBI are working to increase **access to formal sector credit**. Several initiatives have been launched to **bring more people into the formal banking system**. The goal is to **reduce dependence on informal sector credit**.

Measures to increase formal sector credit access:

- **Self-Help Groups (SHGs):** Poor people, especially women, form groups, save regularly, and get bank loans without collateral.
- **Microfinance:** Institutions give small loans to poor people, usually through groups.
- **Prime Minister's Employment Generation Programme (PMEGP):** Government provides subsidies for starting small businesses.
- **MUDRA Bank:** Gives loans to micro-enterprises under Shishu, Kishore, and Tarun categories.

- **Jan Dhan Yojana:** Opens bank accounts for unbanked people and promotes financial inclusion.
- **Credit Guarantee Fund:** Government guarantees loans to reduce risk for banks.
- **Financial Literacy Programs:** Teach people about loan terms, interest, formal credit, and borrower rights.

10. Self-Help Groups (SHGs)

What is a Self-Help Group?

A Self-Help Group (SHG) is a small group of poor people, usually 10-20 members, who come together to save money and give small loans to each other. SHGs are **mostly formed by women** in rural areas. SHGs help **poor people access credit without collateral.**

SHG members save small amounts regularly. The **savings are pooled together** and **given as loans to members** who need money. **After a period of regular savings,** the SHG can **get a bank loan.**

SHGs are important for poverty alleviation because they **enable poor people to access formal credit.** SHGs also **empower women** by giving them **financial independence and decision-making power.**

How SHGs Work

Step-by-step process of SHG:

- **Step 1: Formation - 10-20 poor people**, mostly women, form a group and elect leaders.
- **Step 2: Regular Savings** - Members save a fixed small amount every month.
- **Step 3: Internal Lending** - The group gives small loans to members from pooled savings.
- **Step 4: Bank Linkage** - After regular savings, the SHG approaches a bank for loan.
- **Step 5: Bank Loan Distribution** - SHG distributes bank loan to members and repays the bank collectively.

Benefits of SHGs

Benefits for members:

- **Access to credit without collateral.**
- **Lower interest rates** than moneylenders.
- **Financial independence**, especially for women.
- **Decision-making power** within family.
- **Savings habit** developed.
- **Social empowerment.**

- **Business opportunities.**
- **Emergency support.**

Benefits for society:

- **Poverty reduction.**
- **Women empowerment.**
- **Reduced dependence on moneylenders.**
- **Increased savings** in rural areas.
- **Community development.**
- **Financial inclusion.**

Benefits for banks:

- **Low risk** because group members guarantee one another.
- **Low transaction cost** because bank deals with the group.
- **New customers** in rural areas.
- **Social responsibility** fulfilled.

11. Summary and Key NCERT Points

Complete Chapter Summary

- 1. Money is the most important medium of exchange.** It replaced the **barter system** and serves as **medium of exchange, measure of value, store of value, standard of deferred payment, and transfer of value.**
- 2. Modern forms of money** include **currency** and **bank deposits**. Currency includes **notes and coins**, while bank deposits include **savings, current, fixed, and recurring accounts.**
- 3. Reserve Bank of India (RBI)** is the **central bank of India**. It **issues currency, regulates banks, controls money supply**, acts as **banker to government and banks**, and **manages foreign exchange.**
- 4. Credit or loan** is an **agreement between lender and borrower**. It involves **principal, interest, collateral, documentation, and repayment terms.**
- 5. Credit can be beneficial or harmful.** It is beneficial when it supports productive investment and repayment is possible, but it becomes harmful when it leads to **debt trap.**

6. Debt trap occurs when a borrower **cannot repay a loan and borrows more to repay old loans**, leading to increasing debt and loss of assets.

7. Formal sector credit comes from **banks and cooperatives**, is **regulated by RBI**, has **lower interest**, and gives **legal protection**.

8. Informal sector credit comes from **moneylenders, traders, relatives, friends, employers, and landlords**, is **not regulated**, and often has **very high interest rates**.

9. People use informal credit because of **lack of collateral, documentation, credit history, financial literacy, nearby banks, and quick access during emergencies**.

10. Measures to increase formal credit include **SHGs, microfinance, PMEGP, MUDRA loans, Jan Dhan Yojana, credit guarantee, and financial literacy**.

11. Self-Help Groups help poor people, especially women, **save regularly, access loans without collateral, reduce dependence on moneylenders, and become financially empowered**.

12. Increasing formal credit is important because it **reduces exploitation, lowers borrowing cost, promotes economic development, reduces poverty,**

empowers women, and builds credit history.